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BMW and Woolworths on their Journey to S/4HANA and RISE

Intelligent Automation Approaches

22. October 2024

SBN NORGE
SAP USER GROUP NORWAY
POWERED BY ADFAHRER



Your Speakers Today



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Key Takeaways

- **What are Challenges and Opportunities of Custom Code**
- **What is the Promise of a Clean Core**
- **What are Benefits of Automation vs. Traditional SAP-Transformation**
- **How Woolworths Group Utilizes Automation to Accelerate their Journey to S/4HANA**
- **How BMW utilizes Large Scale Automation for S/4HANA and RISE**

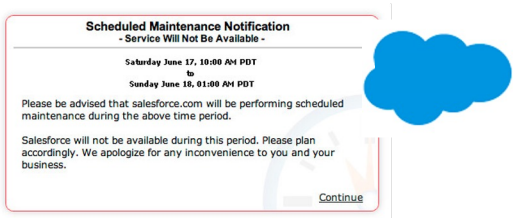
Today's presentation is based on following two presentations earlier this year:
SAP SAPPHIRE 2024, Barcelona, 12. June 2024, Ralf Scherer, BMW Group and Arndt Hoffmann, smartShift
SAUG National Summit 2024, Sydney, 19. August 2024, Wesley Grisdale, Woolworths and Arndt Hoffmann, smartShift

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Benefits of a Cloud-compatible ERP

Seamless upgrades, consume innovations easily

Cloud-compatible ERP



Run like SaaS

Always close to latest release

Benefit from Innovations

Seamless upgrades

- No impact on Extensions
- No impact on Integrations
- Minimal testing effort
- Minimal business user and IT impact
- Consume Innovations

Monolithic ERP



Highly customized, monolithic ERP(s)

Always multiple releases behind

Unable to get required capabilities

Painful upgrades

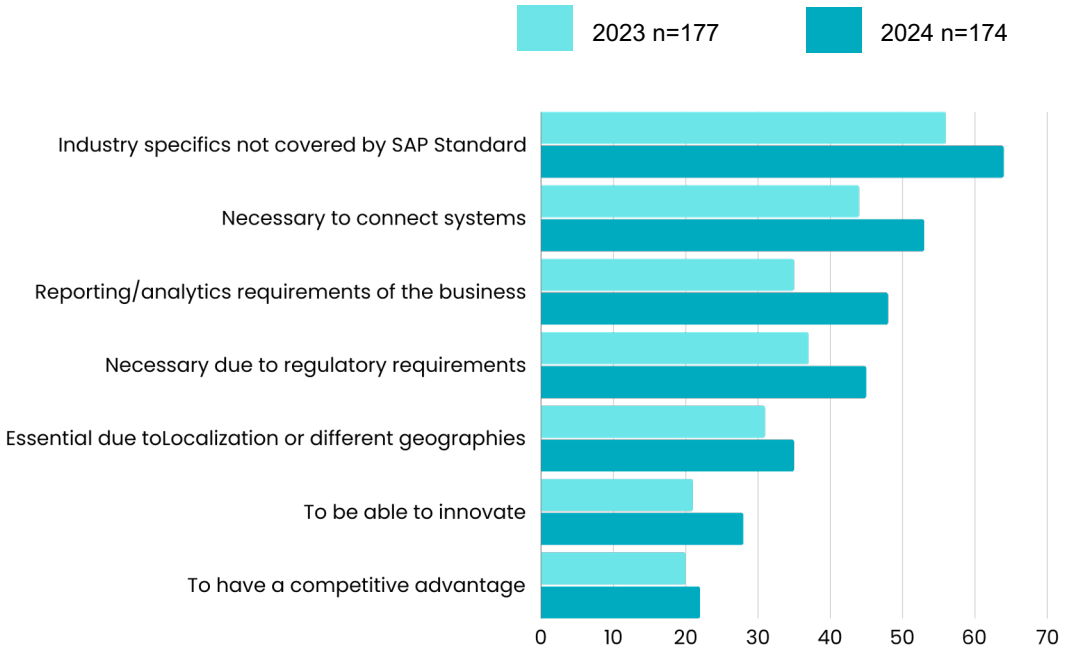
- High Change Impact on Extensions
- High Change Impact on Integrations
- High testing effort
- Hight business user and IT impact
- Innovations available late

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Custom Code is Required

“In your opinion, why does your organization need custom code?”

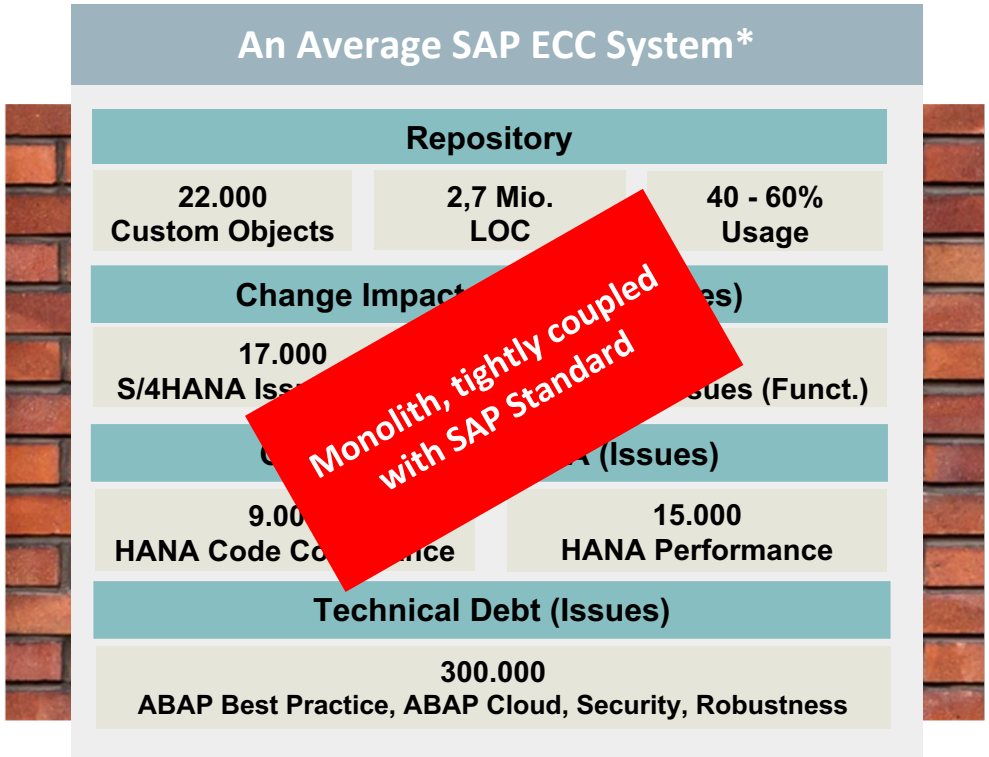
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Source: smartShift/ASUG Market Research

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Custom Code is a Challenge



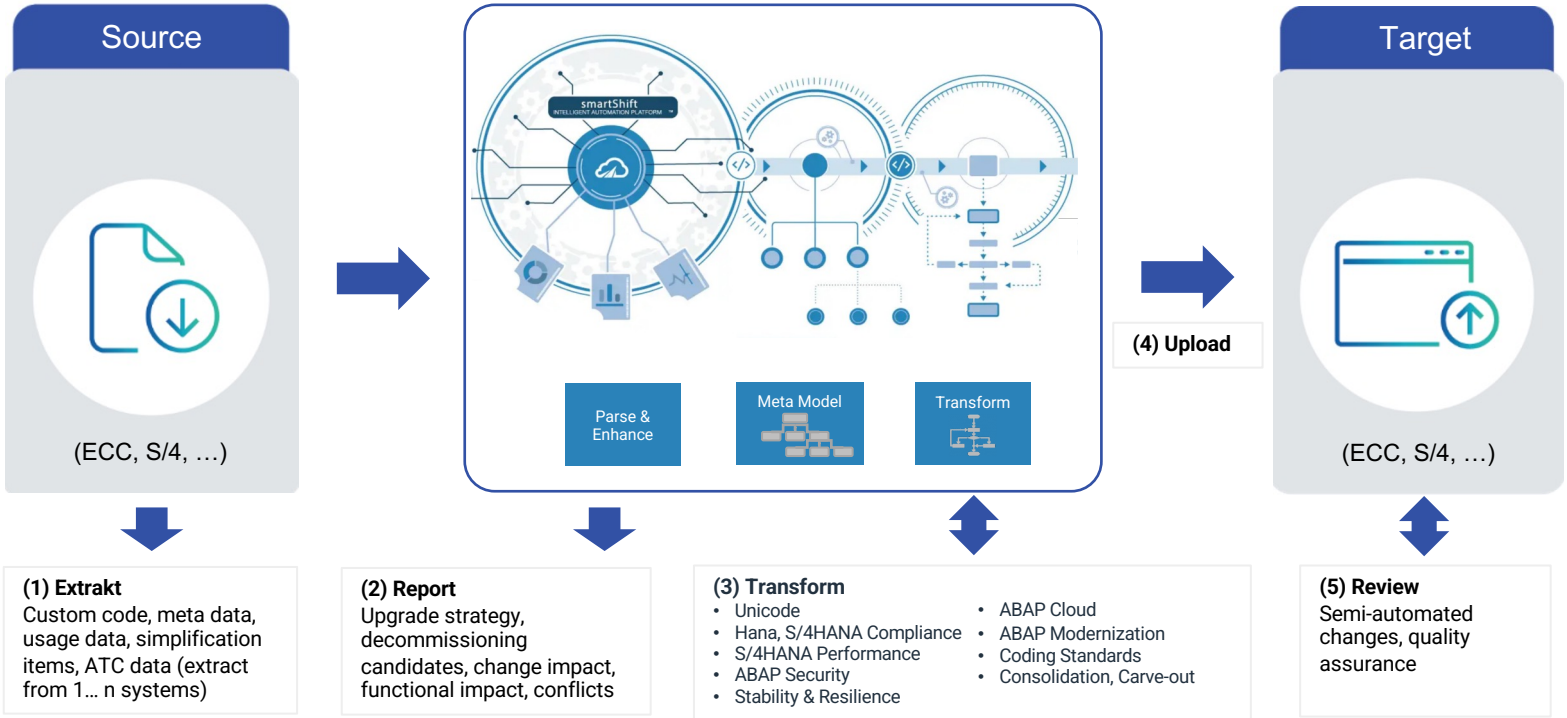
*Based on smartShift Benchmarks

- Hard to maintain and extend
- Hard to modernize
- Stability problems
- Performance problems
- Security problems
- Slow Innovation
- Higher TCO

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smartShift Intelligent Automation Platform

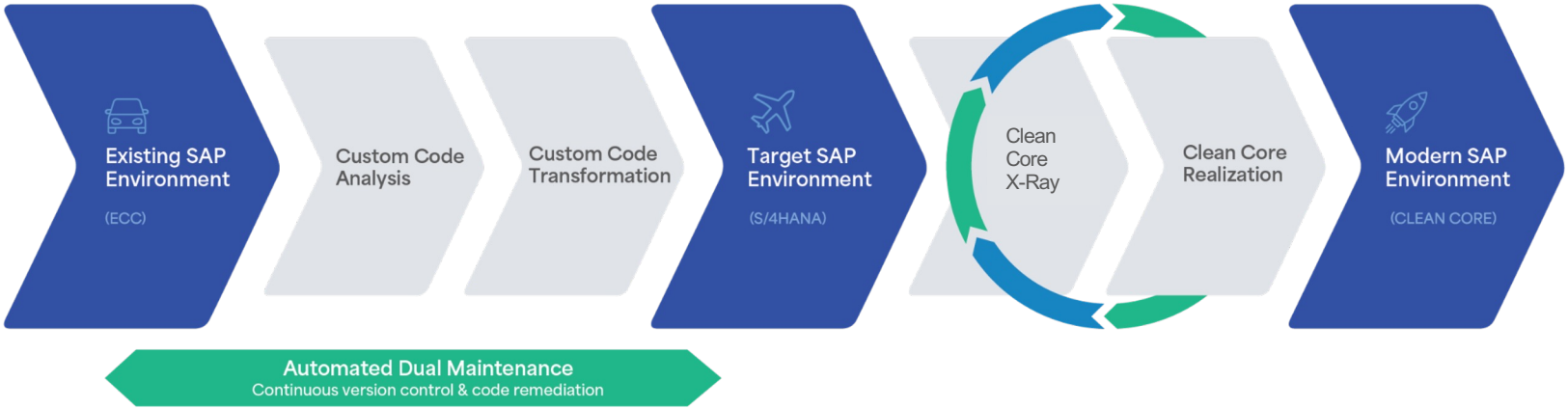
Increase quality, performance and agility though intelligent, configurable automation



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A Typical Customer Journey

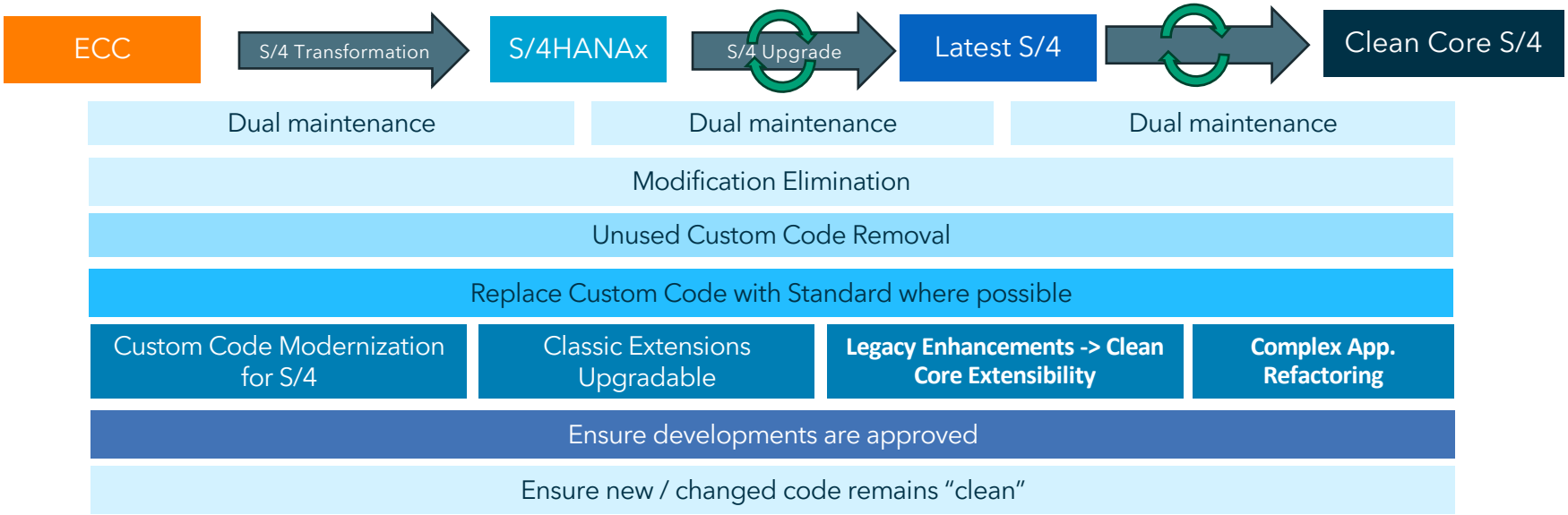
Get Clean, stay Clean with smartShift Automation



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Activities on a Path to a Clean Core

Get Clean, stay Clean with smartShift Automation



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How Woolworths Group Utilizes Automation to Accelerate their Journey to S/4HANA

Australia's Largest Retailer

24.5m
Customers served

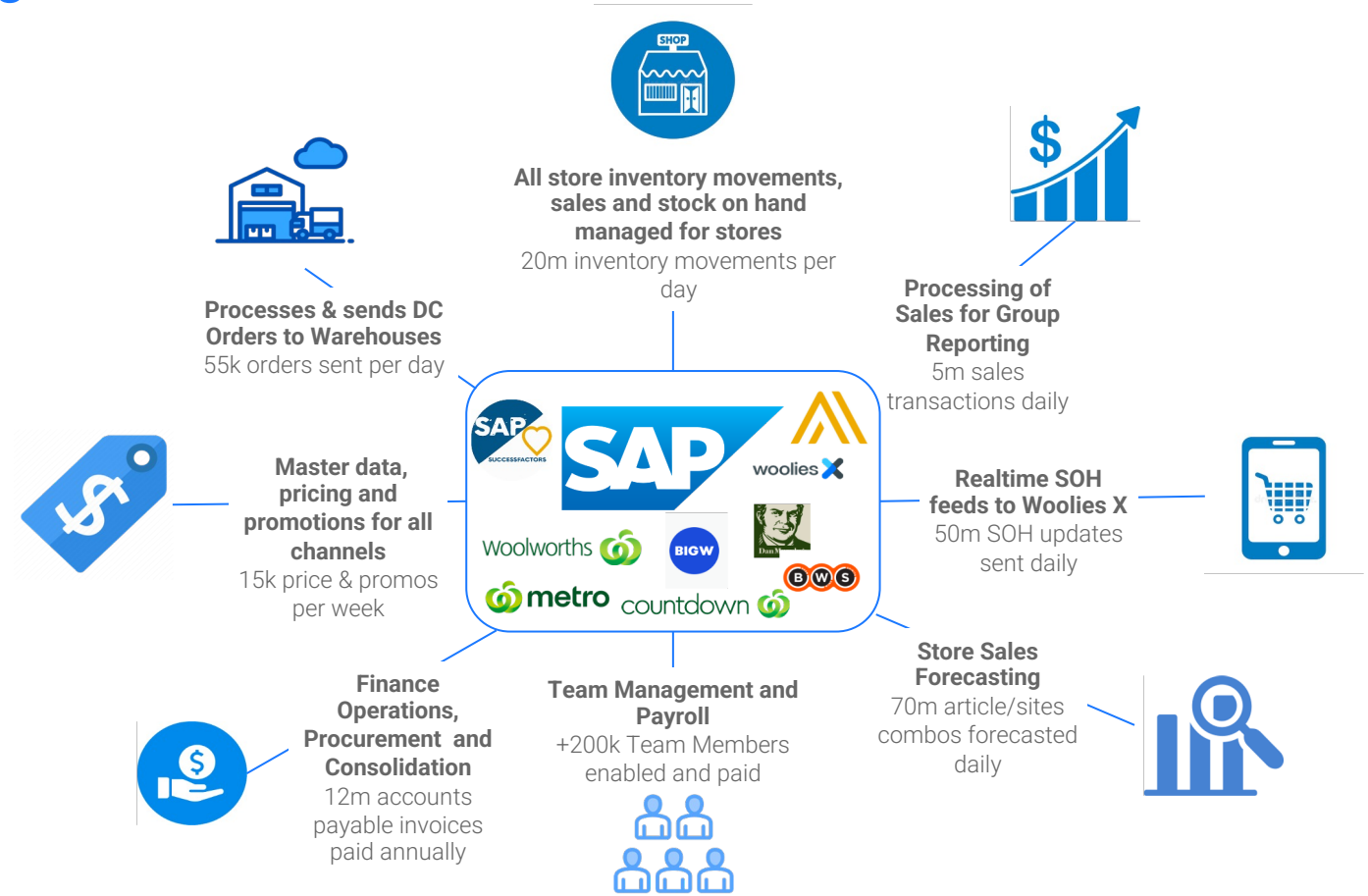
1,463
Stores in the Network



200k
Team Members

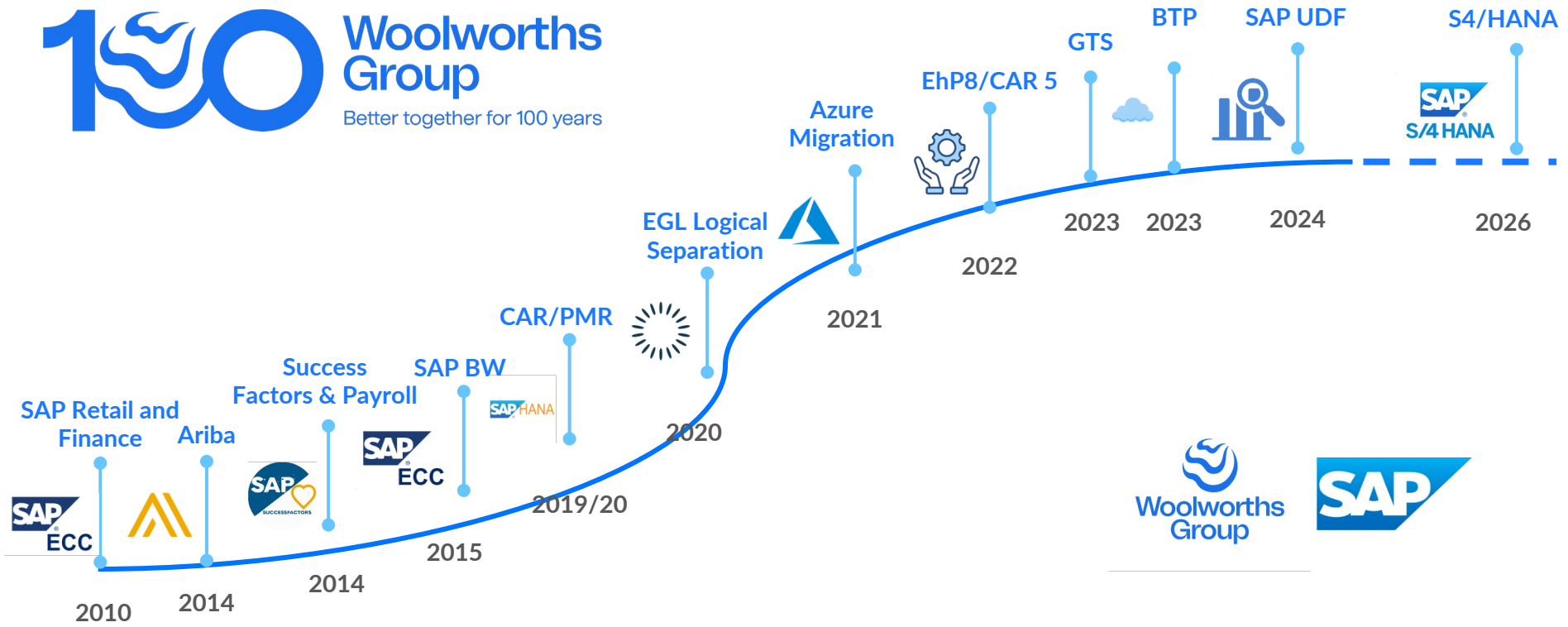
USD 41 Billion
Sales Revenue

SAP is central to enabling key group capabilities and running our business



Our SAP Technology Journey

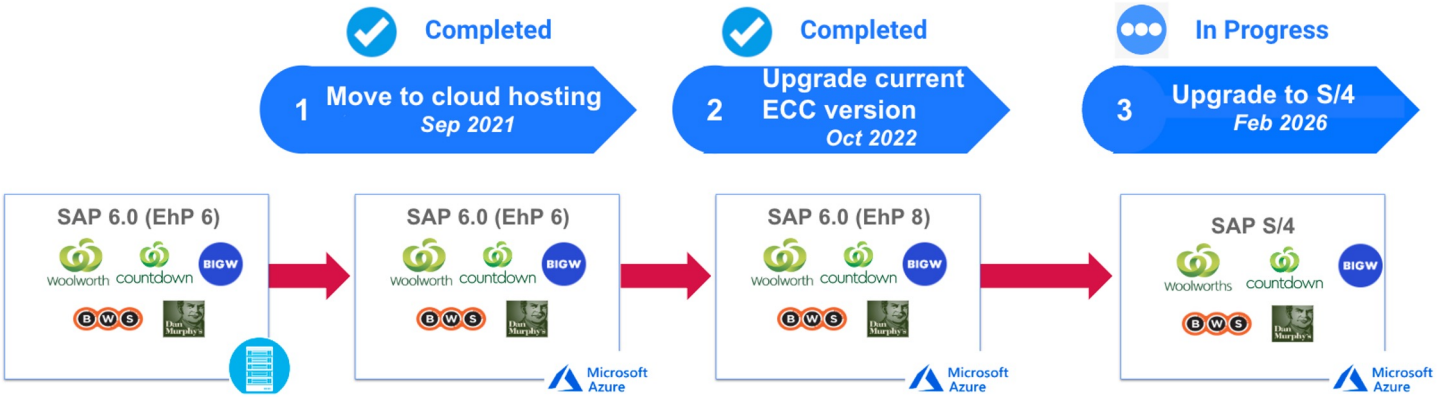
Woolworths Group
Better together for 100 years



Woolworths Group

SAP

We continue to execute against our SAP strategic capability roadmap, with the migration to S4 the next activity on this lifecycle management journey



Step 1: Migrate SAP ECC from on-premise hardware to Cloud

Step 2: Upgrade SAP ECC from Enhancement Pack 6 to 8 to ease the transition to S4 and support SAP CAR UDF

Step 3: Migrate our SAP ECC environment to S4 HANA to remain supported and current

Why are we migrating to SAP S4 HANA?

Our current ECC is 20 years old and will become end of mainstream support in 2027	S4 HANA is fully supported until 2040
SAP is no longer investing in the ECC product	Remain on the SAP strategic roadmap for our ERP and receive new capability (AI, ML). Ensure compatibility across broader WOW SAP landscape.
SAP is a key component of the Finance Systems Transformation	S4 will enable new Finance capabilities currently being explored by FST (universal ledger, doc splitting, improved user experience)
Modernise our SAP Architecture, leverage SAP Business Technology Platform	Leverage new SAP cloud architecture to simplify and improve integration to and from SAP
Leveraging a combination of S4 HANA and BTP, improve our ability to innovate and enable faster	By relocating custom code from the core, more regular upgrades and capability enablement

Custom Code as a Major Challenge of the Woolworths SAP Transformation

NUMBER OF CUSTOM OBJECTS	LINES OF CUSTOM CODE (NORMALIZED)	CHANGE IMPACT HANA / S/4HANA (ISSUES)	TECHNICAL DEBT (ISSUES)
31,402	4,353,384	20K+	385K+

CHALLENGES

- **Highly customized** SAP System since 2010
- **High Custom Code change impact** moving to HANA and S/4HANA (small number of functional issues)
- High potential to **decommission unused code**
- **Big Technical Debt** accumulated over years
- **Active development** ongoing in ECC

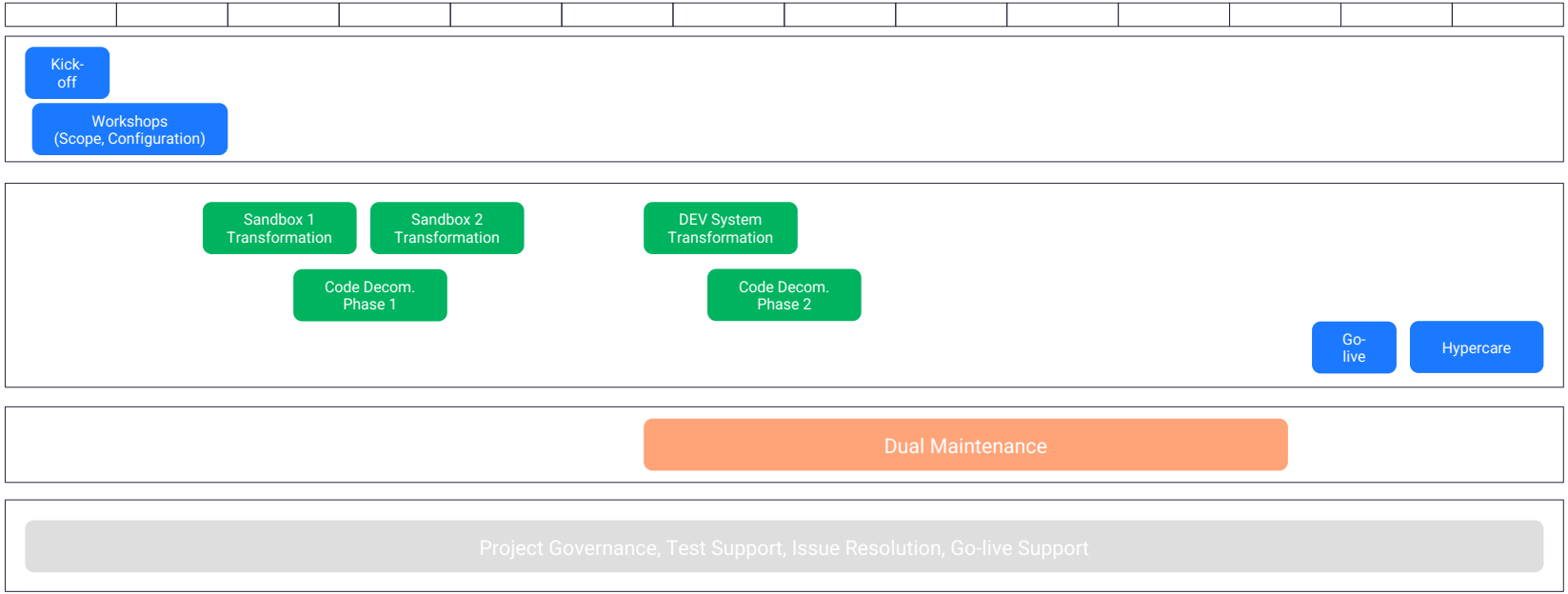
GOALS

- **De-risk and accelerate** the S/4HANA transformation
- Execute **multiple Sandbox** transformations
- **Reduce unused code and technical debt** and **modernize** towards a cleaner core
- Relief internal teams from mundane manual coding work
- **Minimize the business impact** during the transformation

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Woolworths selected smartShift end of 2023 as strategic partner for SAP Custom Code Automation

Custom Code Automation for Woolworths



Code Decom. = Code Decommissioning

Custom Code Automation Benefits for Woolworths

SPEED
MASSIVE ACCELERATION

6 WEEKS
(PER TRANSFORMATION)

COVERAGE
FULL MODERNIZATION

405,642
(ISSUES FIXED)

PRECISION
EXTREME HIGH QUALITY

25 ISSUES
(IN TESTING)

CLEANUP
UNUSED CODE

784,192
(LINES OF CODE RETIRED)

Issues Fixed
(per Transformation Category)

HANA, S/4HANA Compatibility	20,058
S/4HANA Performance	19,916
ABAP Cloud	106,390
ABAP Modernization	103,684
Security	6,272
Coding Standards	129,727
Hard Coded Literals	19,595
Total	**405,642**

FURTHER AUTOMATION BENEFITS

- Multiple fully converted Sandbox systems enable **early testing**
- **Internal teams** can focus on innovation and critical functional work
- **Code modernization** is achieved without adding additional risk
- Multiple transformation runs and dual maintenance **reduce system freeze** and **enable business agility**

"smartShift is key to accelerate and de-risk our transformation to S/4HANA and a cleaner SAP system."

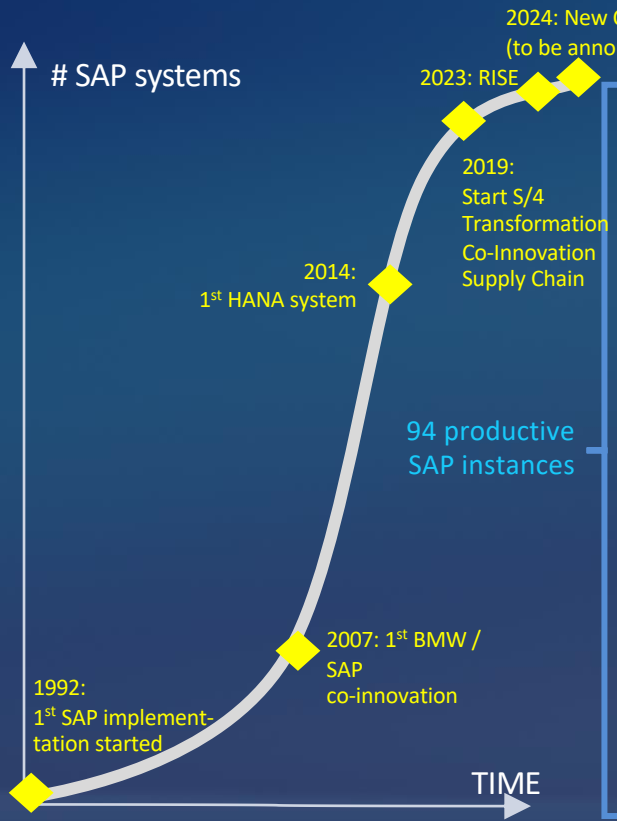
Wesley Grisdale



LARGE-SCALE CUSTOM CODE AUTOMATION

BMW GROUP‘S PATH TO SAP S/4HANA | SAP SAPPHIRE BARCELONA | WEDNESDAY, JUNE 12

BMW GROUP | OUR SAP TRANSFORMATION AND CLOUD JOURNEY



94 productive SAP instances

Systems implemented on S/4 "upfront"

Brownfield Conversion with "little or no" renovation
"what needs to be done" + "windfall profits"

3 major S/4 Greenfield Initiatives

- "PKT": 1 Plant TemplateSupply Chain in all (28) production plants (excl. CKD)
- "GFBB": 1 Finance template for most (> 150) fully consolidated legal entities
- "Planet": 1 After Sales Template incl. Planning for all warehouses globally (35)

Process HARMONIZATION and STANDARDIZATION

Move2RISE

Migration Factory by SAP

"Cloud Migration"

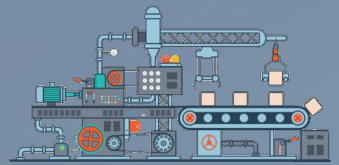
9 landscapes migrated

"Cloud Conversion"

2 landscapes converted

"Cloud Build"

77 SIDs active (141 TB)
3 DCs incl. EU Access



THE NEED FOR CUSTOM CODE AUTOMATION

CHALLENGES

- BMW Group's SAP systems highly customized over past 30 years
- Huge amount of unused custom code in all systems
- Inconsistent Development Standards
- Technical debt accumulated
- Huge change impact for HANA and SAP S/4HANA compliance
- Potential security and compliance threats in legacy coding

GOALS

- Enforce consistent coding and code security standards
- Relief internal teams from mundane manual coding work
- Reduce unused code and technical debt
- De-risk the transformation
- Minimize the business impact
- Accelerate transformation timelines
- Path the way to a cleaner SAP Core in all systems

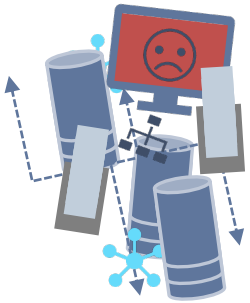


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selected in 2018 as central provider of SAP Custom Code Automation .

INTELLIGENT CUSTOM CODE AUTOMATION BY SMARTSHIFT INTEGRATED INTO BMW GROUP'S SAP TRANSFORMATION.

BMW Group SAP Custom Code Transformation powered by smartShift Automation



Current State

S/4 HANA	HANA	UNICODE	Merge / Consolidation	Carve Outs
Version Upgrade	Code Modernization / Standardization	Code Security	Code Retiremement	Clean Core

SLAs and Warranties — Dual Maintenance — Stay Clean!



Future State

KPIs	Automation Percentage	Quality / Error Rates	Conversion Time	Performance

SMARTSHIFT AUTOMATION RESULTS
2018 - 2024

NUMBER OF PROJECTS DELIVERED	BMW SAP LANDSCAPES COVERED	CUSTOM OBJECTS DECOMMISSIONED	DECOMMISSIONED CUSTOM LOC (M)
138	**53**	**87,710**	**12.7**

MANUAL EFFORTS SAVED (PERSON DAYS)	MANUAL EFFORTS SAVED (MEUR)	IT SECURITY RISKS REDUCED (MEUR)	NO. OF TIMES SLA NOT MET
67,091	**> XX**	**>> XX**	**0**

“smartShift enables us to accelerate and de-risk our transformation journey significantly. smartShift Automation helps us to enforce consistent coding and security guidelines and to address technical debt accumulated over years. Our internal teams are relieved from mundane manual work and can focus on innovation. Automation also enables us to provide continuous agility to our business.”



SMARTSHIFT AUTOMATION IN ACTION
ORDER TO DELIVERY – NEW PROTON S/4HANA TEMPLATE

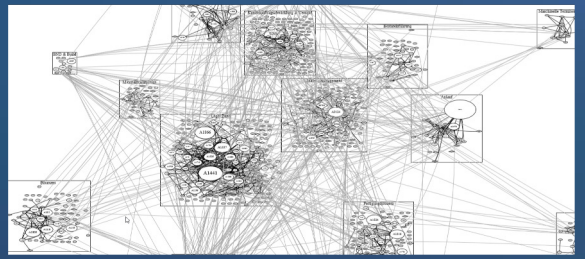
CHALLENGES

- Old SAP template customized per plant; process harmonization as primary goal (>75k custom objects, first code from 2003)
- Create a new SAP S/4 based production template for all plants worldwide
- Design a reliable and flexible architecture, following modern software principles (Security by Default, Resilience…);
- Multi-year Dual Maintenance (cross-release)

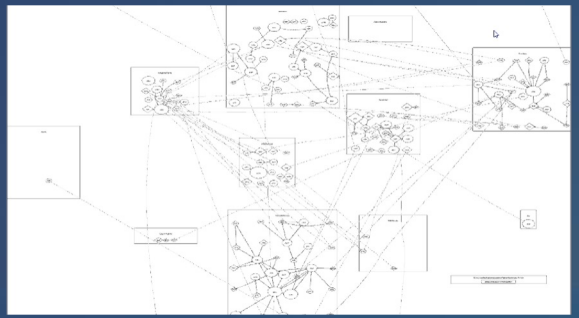
GOALS

- ↓ 54% DML packages
- ↓ 78% custom objects
- ↓ 90% lines of code
- ↓ 81% dependencies to SAP Standard
- ↓ 97% dependencies to other custom objects
- All HANA and S/4HANA Compliance and Optimization Issues resolved
- Code Standardization, Stability improved
- Security Issue reduces by 99%

BEFORE



AFTER



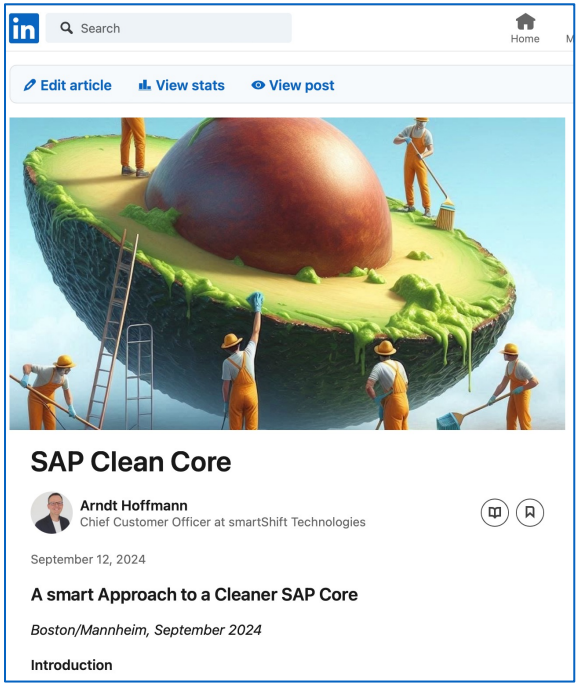
Next Steps

Test drive our capabilities

A free custom code health check to gain insight into your SAP modernization roadmap



Questions & Answers



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Intelligent Automation®

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smartShift Overview

Global Leader in SAP custom code transformation

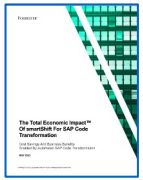
Industry
LEADER
Intelligent
Automation

EXPERTS in
legacy
transformations

PATENTED
Intelligent
Automation
Platform

20+
YEARS R&D

3,300+
SAP
Transformation
Projects



253% ROI,
Payback < 6 Month

350+ successful
S/4HANA projects

CERTIFIED
ISO 27001, AWS MAP
& MSP, TISAX

Established
partnerships with
leading SIs



Award-winning
Automation

JBS
AIRBUS
BMW
P&G
bp
Nilfisk
Kimberly-Clark
PORSCHE
Pratt & Whitney
Dependable Engines
Shell
EVONIK
KRAFT FÜR NEUES
JABIL
AstraZeneca
OMV
Exxon
FOODSTUFFS
South Island
salling group
Arla
SKF
Carlsberg
VOLVO
Construction Equipment

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